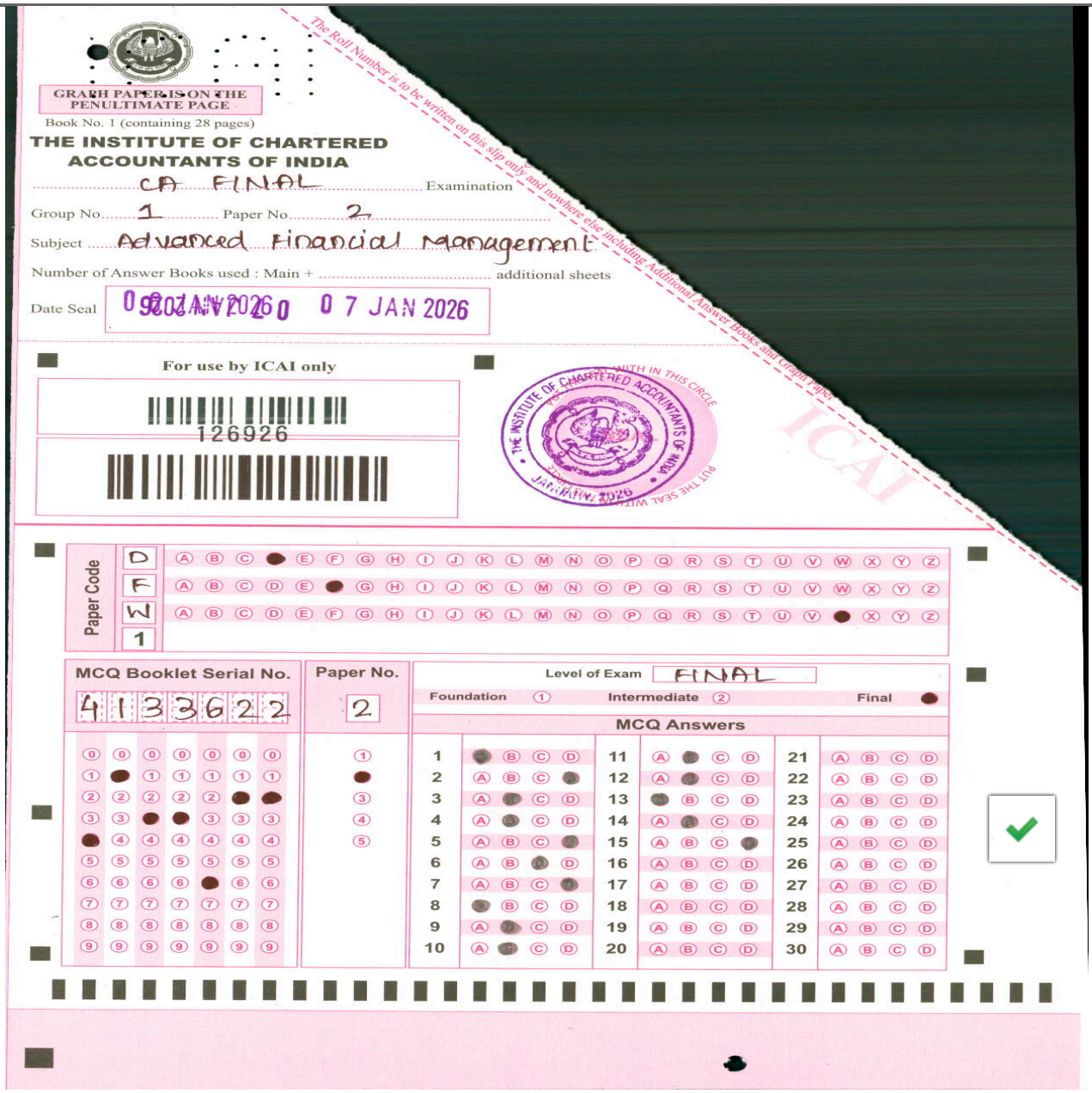
The Institute of Chartered Accountants of India

Code:	**FN2AF126926**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**49**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + additional sheets

Date Seal 07 JAN 2026 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper.

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126926

Paper Code: D F W 1

MCQ Booklet Serial No. 4133622

Paper No. 2

Level of Exam FINAL

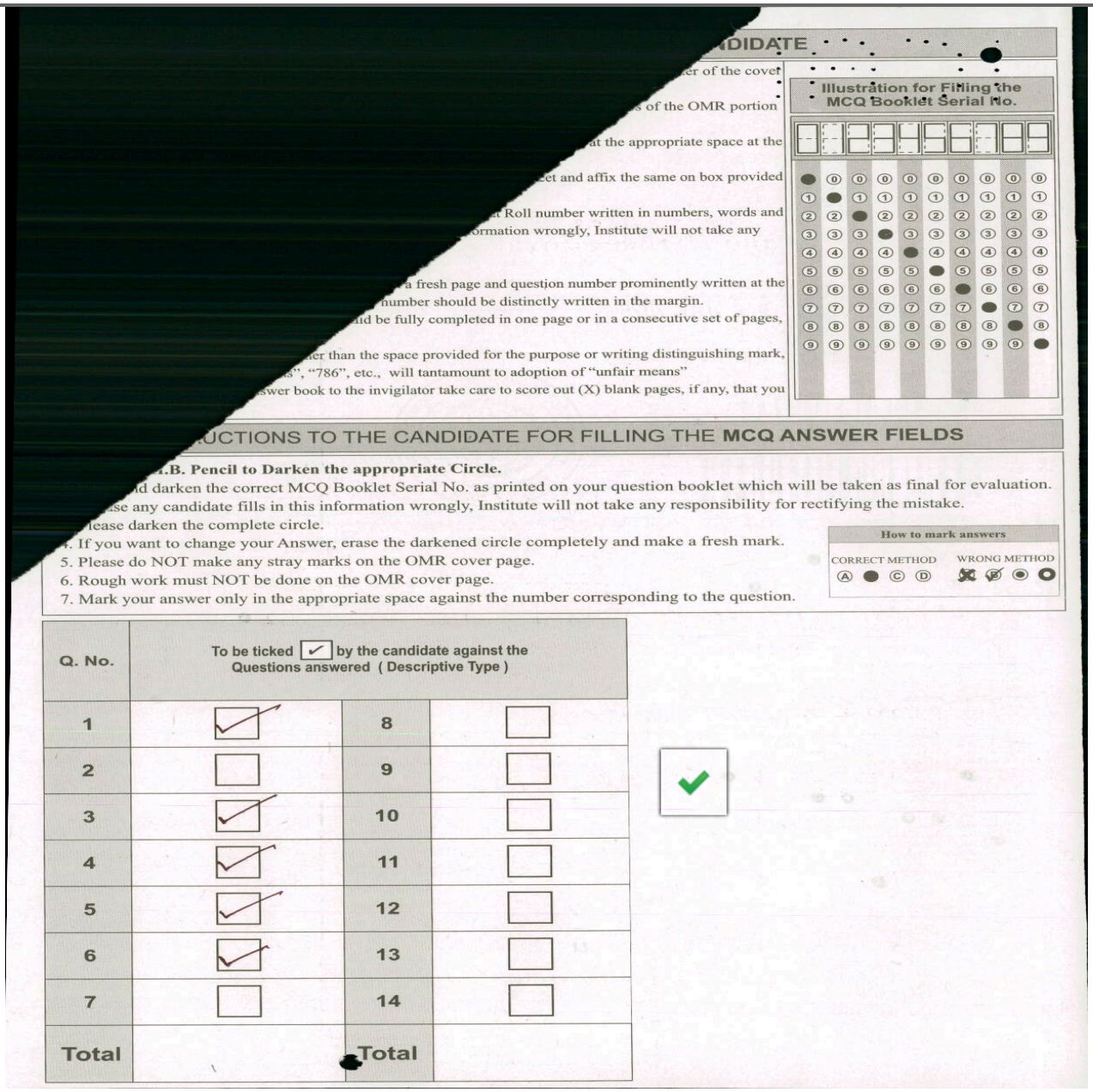
Foundation (1) Intermediate (2) Final

MCQ Answers

1	B	C	D	11	A	C	D	21	A	B	C	D
2	A	B	C	12	A	C	D	22	A	B	C	D
3	A	C	D	13	B	C	D	23	A	B	C	D
4	A	C	D	14	A	C	D	24	A	B	C	D
5	A	B	C	15	A	B	C	25	A	B	C	D
6	A	B	D	16	A	B	C	D	26	A	B	C	D
7	A	B	C	17	A	B	C	D	27	A	B	C	D
8	B	C	D	18	A	B	C	D	28	A	B	C	D
9	A	C	D	19	A	B	C	D	29	A	B	C	D
10	A	C	D	20	A	B	C	D	30	A	B	C	D

The Institute of Chartered Accountants of India

Code: FN2AF126926 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 49



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Illustration for Filling the MCQ Booklet Serial No.

...UCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...B. Pencil to Darken the appropriate Circle.

...d darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

...se any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

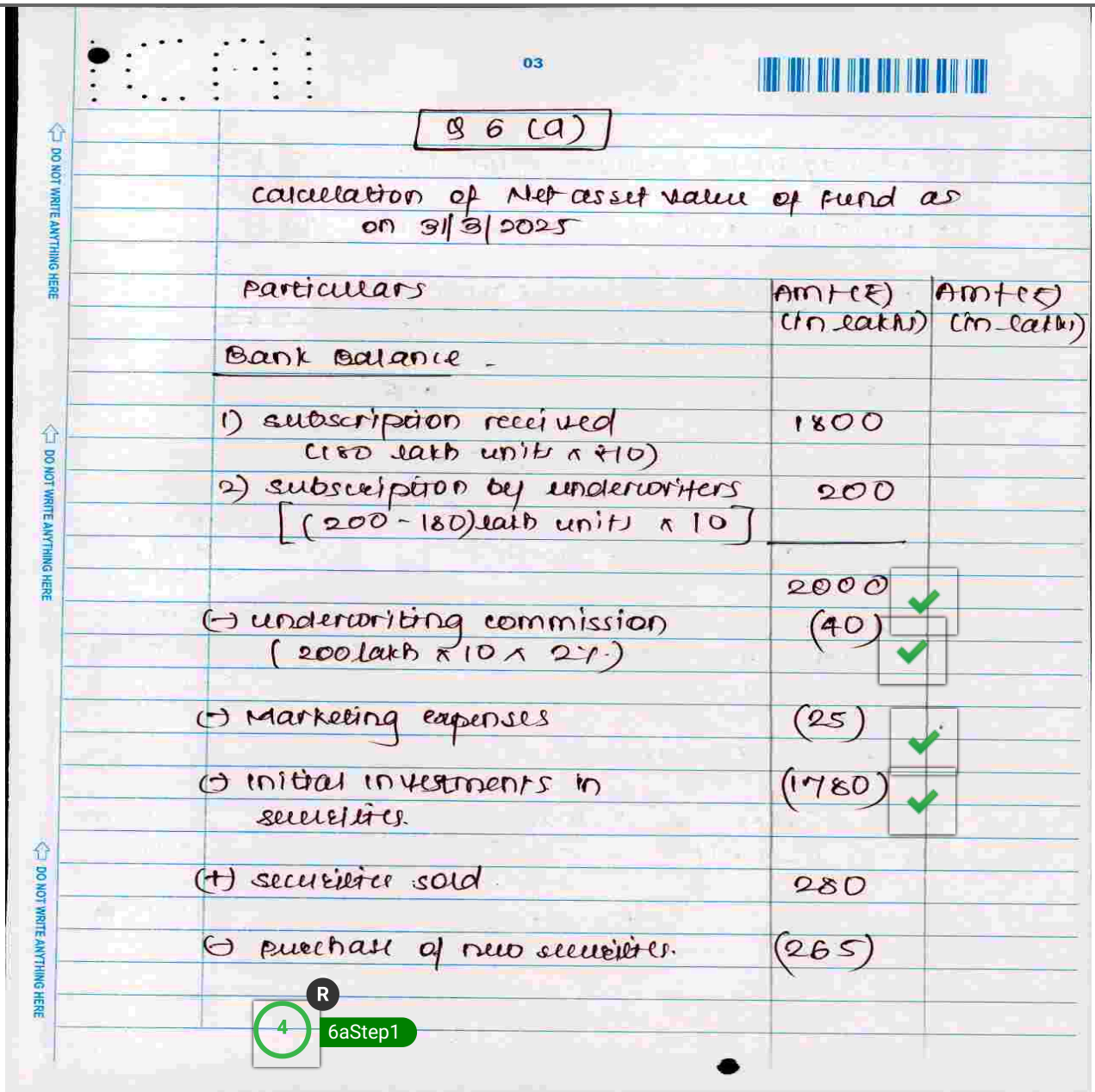
...lease darken the complete circle.

4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD Ⓐ ● Ⓒ Ⓓ WRONG METHOD ⊗ ⊘ ◉ ⊙

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☐	9	☐
3	☑	10	☐
4	☑	11	☐
5	☑	12	☐
6	☑	13	☐
7	☐	14	☐
Total		Total	



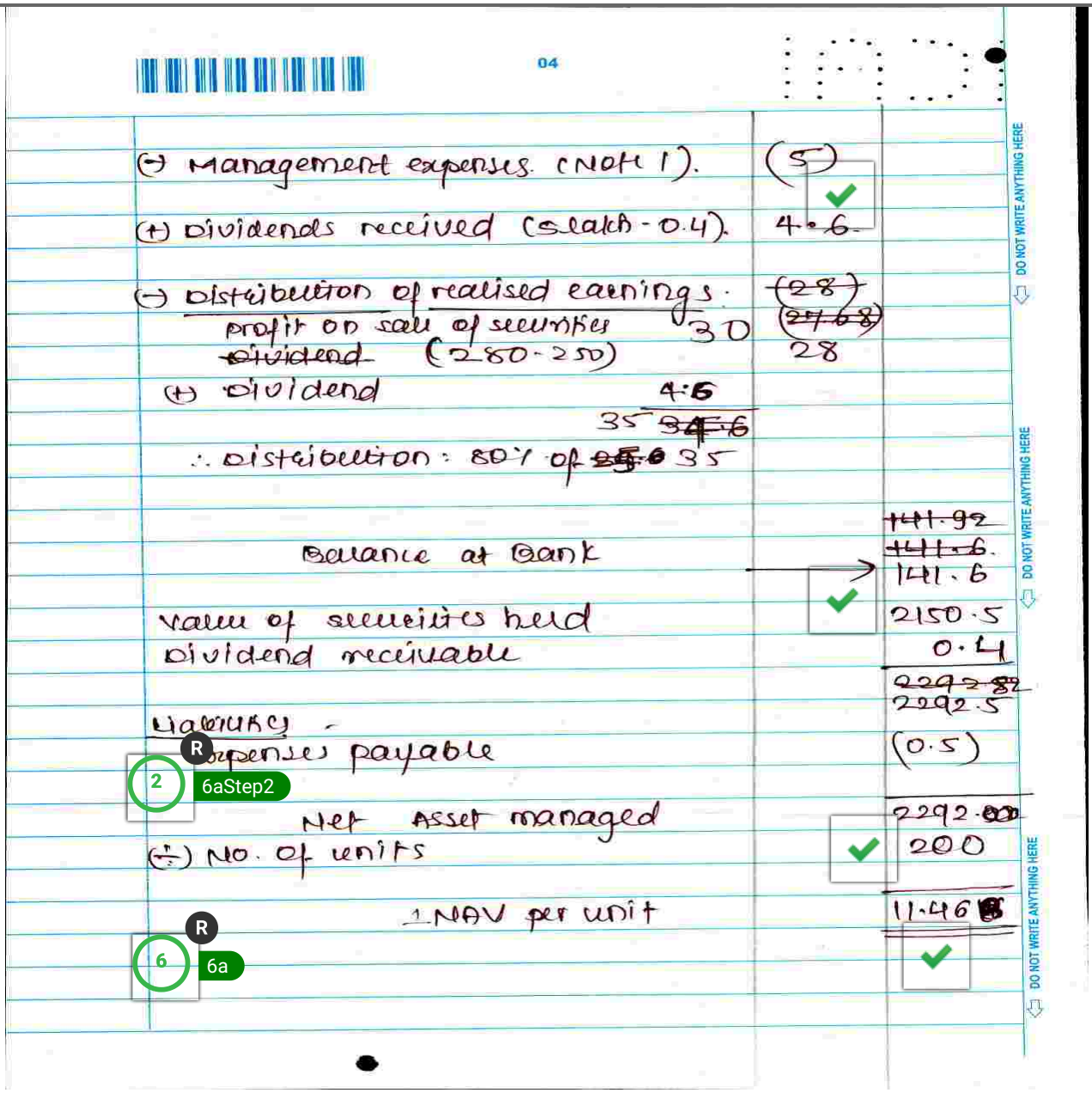
03

Q 6 (a)

Calculation of Net asset value of Fund as on 31/3/2025

Particulars	Amt (₹) (in lakh)	Amt (₹) (in lakh)
Bank Balance -		
1) subscription received (180 lakh units × ₹10)	1800	
2) subscription by underwriters [(200 - 180) lakh units × 10]	200	
	2000	
(-) underwriting commission (200 lakh × 10 × 2%)	(40)	
(-) Marketing expenses	(25)	
(-) initial investments in securities.	(1780)	
(+) securities sold	280	
(-) purchase of new securities.	(265)	

4 6aStep1



04

(+) Management expenses (Note 1). (5)

(+) Dividends received (5 lakh - 0.4). 4.6

(-) Distribution of realised earnings. (28)

Profit on sale of securities 30

~~Dividend~~ (280 - 250) 28

(+) Dividend 4.6

35 ~~34.6~~

∴ Distribution: 80% of ~~35.0~~ 35

Balance at Bank 141.6

Value of securities held 2150.5

Dividend receivable 0.4

2292.5

Liability -

Expenses payable (0.5)

Net Asset managed 2292.00

(÷) No. of units 200

NAV per unit 11.46

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R 2 6aStep2

R 6 6a

05

Note - Average funds invested during the year shall be ₹1780, as the funds were directly sold on 31.3.25 and new funds acquired on same date

Note :

Initial funds invested =	1780
Funds at year end = (1780 - 250 + 265)	1795
Average =	1787.5
∴ Maximum allowable management expenses : 0.5% of 1787.5	8.9375

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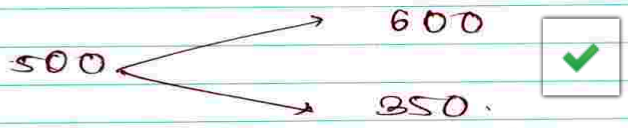
Q 6 (b).

Present value of project = ₹500 lakhs.

Volatility due to market conditions leads to either, -

a) increase by 20% : 500 × 1.2 = 600
b) decrease by 30% : 500 × 0.7 = 350.

Decision Tree.



under risk neutral method, probabilities shall be calculated as under -

$$S_0 = \frac{P_u \cdot x + P_d (1-x)}{R_f}$$

$$\therefore 500 = \frac{600x + 350(1-x)}{1.08}$$

$$\therefore 540 = 600x + 350 - 350x$$

$$\therefore 250x = 190$$

07

$\therefore \alpha = 0.76$ i.e. 76%
$\therefore (1-\alpha) = 0.24$ = 24%

Value of abandonment option shall be based upon payoff.
Payoff is only possible if P.V. reduces by 30%.

450 (strike price) — 0 / 100 (450 - 350)

∴ Value of option shall be calculated as follows -

$$= \frac{Cu \cdot p + Cd(1-p)}{r}$$

$$= \frac{(0 \times 0.76) + (100 \times 24\%)}{1.08}$$

$$= \frac{24}{1.08}$$

= ₹ 22.22 lakhs

R 4 6bStep1
(assumed that such impact of condition shall be on year end present value.)

R 4 6b

08

Q 6 (c)

1) ~~Government~~ plays a crucial role in thriving a ~~sustainable~~ environment for start-ups in India.

~~2)~~

Q 6 (c) - Alternative 2.

1) SPV under securitisation issue various types of securities on the basis of securitised assets (illiquid assets) the given securities are as follows)

2) The security specified in scenario 1 is - Pass ~~pass~~ through certificates'.

→ under this type of securities, all the cashflows, whether contractual ~~or~~ (including prepayment) whether principal or interest are all transferred to the ~~shared~~ unitholders without any retention

→ It shows the unitholder's proportionate right on assets of SPV.

09

(3) security in scenario 2 is 'pay through securities'.

→ These securities provides a fixed schedule of interest payment and principal repayment

→ It desynchronises the 'servicing of securities' from contractual inflows received by SPV ✔

→ It does not show unitholder's direct right on assets of SPV.

→ It provides opportunity to invest excess inflow

(4) security given in scenario B are 'stripped securities'.

stripped securities provide specific inflows to unitholders such as -

a) interest only

b) principal only. ✔

R 3 6cStep1

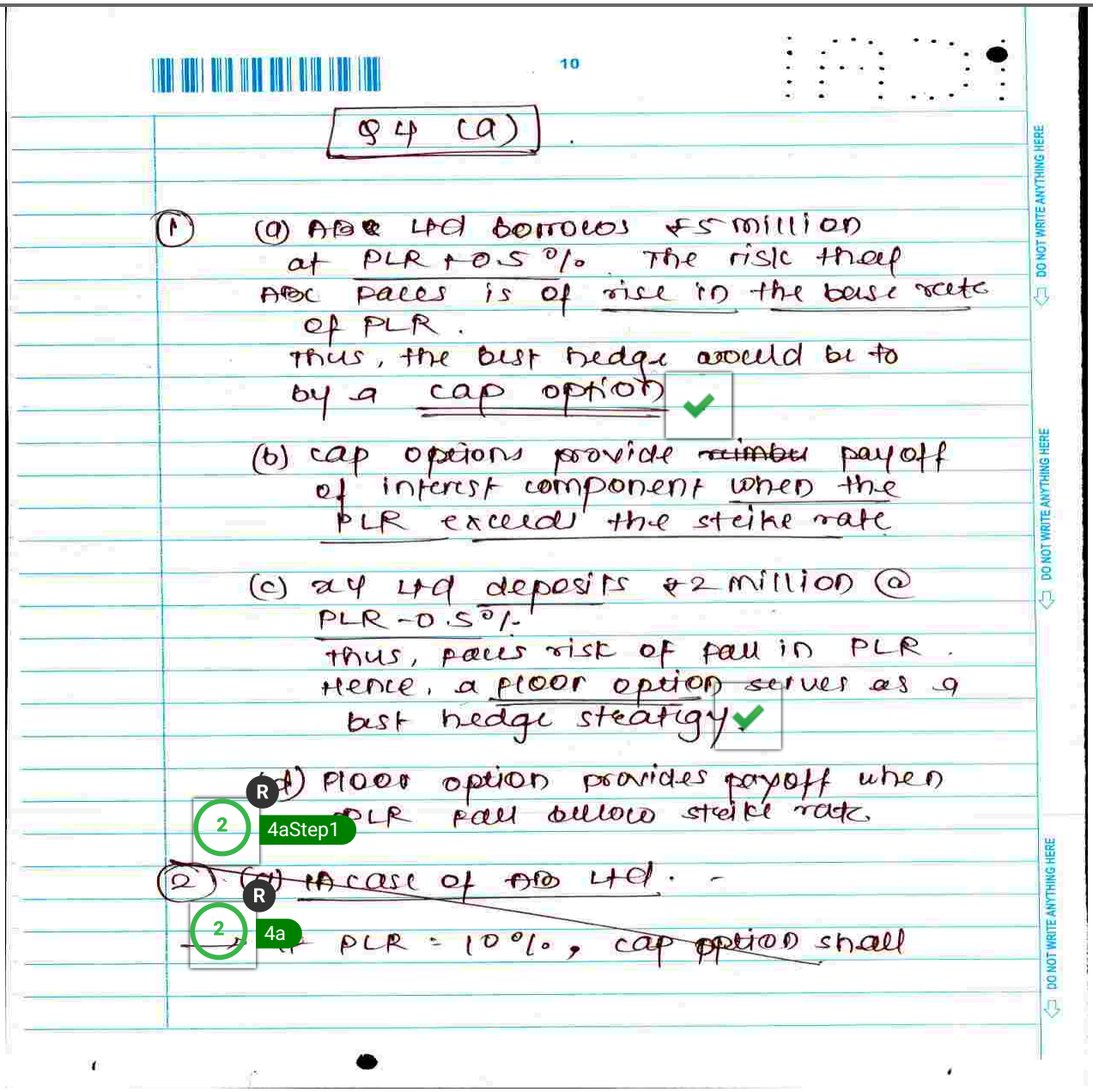
R 3 6c

R 13 6

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10

Q 4 (a)

(1) (a) ABC Ltd borrows ₹5 million at PLR + 0.5%. The risk that ABC faces is of rise in the base rate of PLR.
Thus, the best hedge would be to by a cap option ✔

(b) cap options provide ~~nimbu~~ payoff of interest component when the PLR exceeds the strike rate

(c) ay Ltd deposits ₹2 million @ PLR - 0.5%.
Thus, faces risk of fall in PLR.
Hence, a floor option serves as a best hedge steatigy ✔

(d) Floor option provides payoff when PLR fall below strike rate.

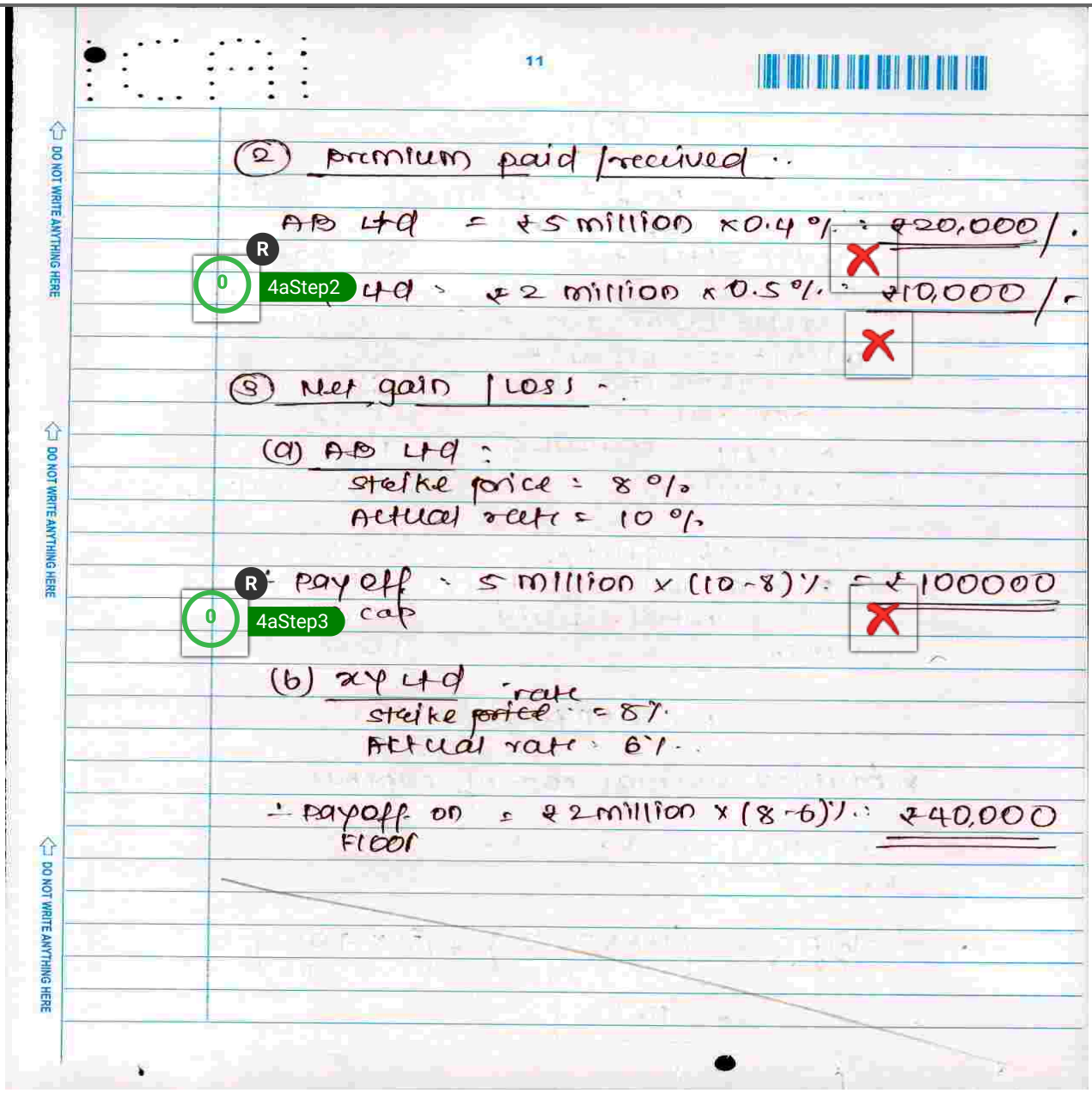
R 2 4aStep1

(2) ~~(a) In case of ABC Ltd.~~

R 2 4a

~~If PLR = 10%, cap option shall~~

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11
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(2) Premium paid / received :-
AB Ltd = ₹5 million × 0.4 % = ₹20,000/-
R
0
4aStep2
Ltd = ₹2 million × 0.5 % = ₹10,000/-
(3) Net gain / loss :-
(a) AB Ltd :
Strike price = 8 %
Actual rate = 10 %
∴ Payoff = 5 million × (10-8) % = ₹100000
R
0
4aStep3
cap
(b) xy Ltd
Strike price = 8 %
Actual rate = 6 %
∴ Payoff on Floor = ₹2 million × (8-6) % = ₹40,000

12

Q 4 (b)

1) operating profit (Income): 84 lakhs

calculation of NOPAT -

Profit after tax	84 lakhs.
tax rate = 30%	
Profit before tax :	120 lakhs
(+) interest cost on debt @ 10% (400×10%)	40
	160
(-) tax @30%	(48)
NOPAT operating	112

2).

Particulars	Rs. (lakhs)
Value of equity.	200
(+) Brand value (parent)	100
Total equity	300
(+) Debt	400
capital employed	700

Weighted average cost of capital -

kd : 10(1-0.3) = 7%

ke : 14%

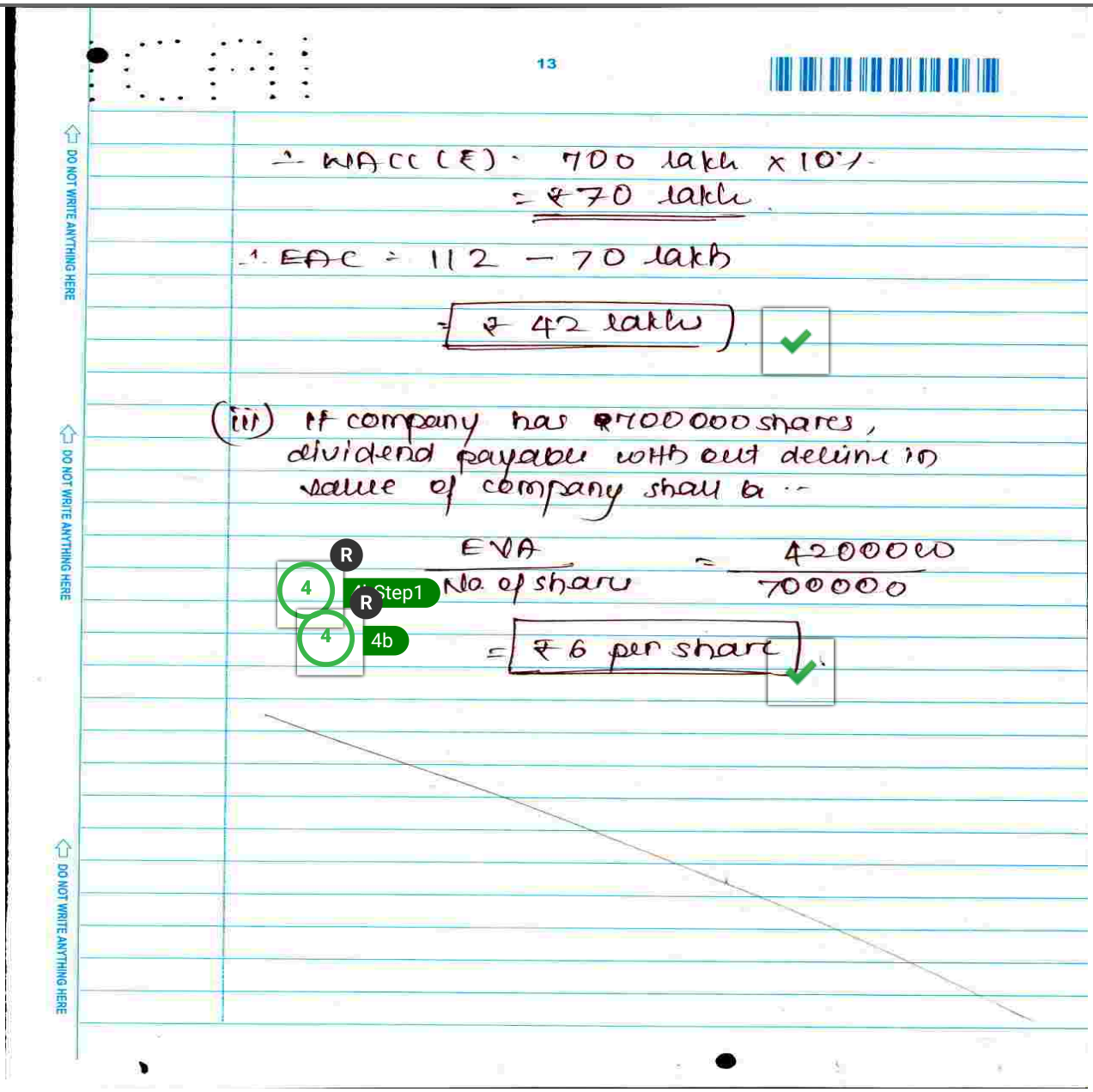
∴ WACC (Kc) : $\left(\frac{14 \times 300}{700}\right) + \left(\frac{7 \times 400}{700}\right)$

= 10 %

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13
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∴ WACC (₹) = 700 lakh × 10%
= ₹70 lakh
∴ EAC = 112 − 70 lakh
= ₹ 42 lakh
(iii) If company has ₹700000 shares, dividend payable without decline in value of company shall be :-
EVA / No of share = 4200000 / 700000
= ₹6 per share
4
Step1
4
4b

14

Q 4(c)

1) scenario 1 -
It indicates a bullish trend with uniformly rising support & resistance levels.
The stock prices rises constantly with expected corrective waves for new investors to participate at such lows.

2) scenario 3
It represents 'Elliot wave theory' It specifies that market prices shows 3-5 impulsive waves followed by 3 corrective waves.
The 3 peaks with highest middle one then fall provide proof about the elliot wave theory.

3) scenario 5 -
It represents 'Relative weakness' when a stock price shows relutance of moving upwards in bullish market but falls drastically in bearish

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15

market indicate a relative weakness to the stock.

3) scenario 4 -
It shows Random walk hypothesis that a share price moves randomly & the peaks & ~~thro~~ troughs are just a statistical coincidence.
It

3) scenario 4 -
the scenario reflects Resistance & support where the trend of resistances blocks the price to rise higher than such level. Also it indicates that the 'support trend is ~~falling~~ downwards indicating ~~lower~~ rising upwards such narrow band.

4) scenario 5 -
It reflects contracting 'support & resistance.

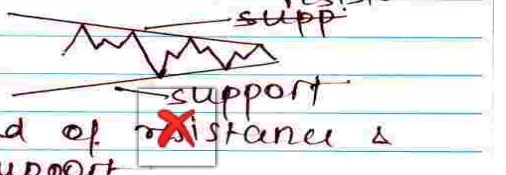


Diagram shows -
It shows reducing trend of resistance & increasing trend of support

R 0 4cStep1
R 0 4c
R 6 4

16

Q1 (a)

Dividend bonus scheme date : 1.4.19
current Date : 31.3.25

Number of years = 6 years.

Average annual yield : 16.8%
∴ Total yield : $16.8 \times \frac{6 \text{ year}}{1 \text{ year}}$

= 100.8 %.

Initial investment : ₹25,00,000
∴ closing value :
2500000 + 100.8% of 2500000

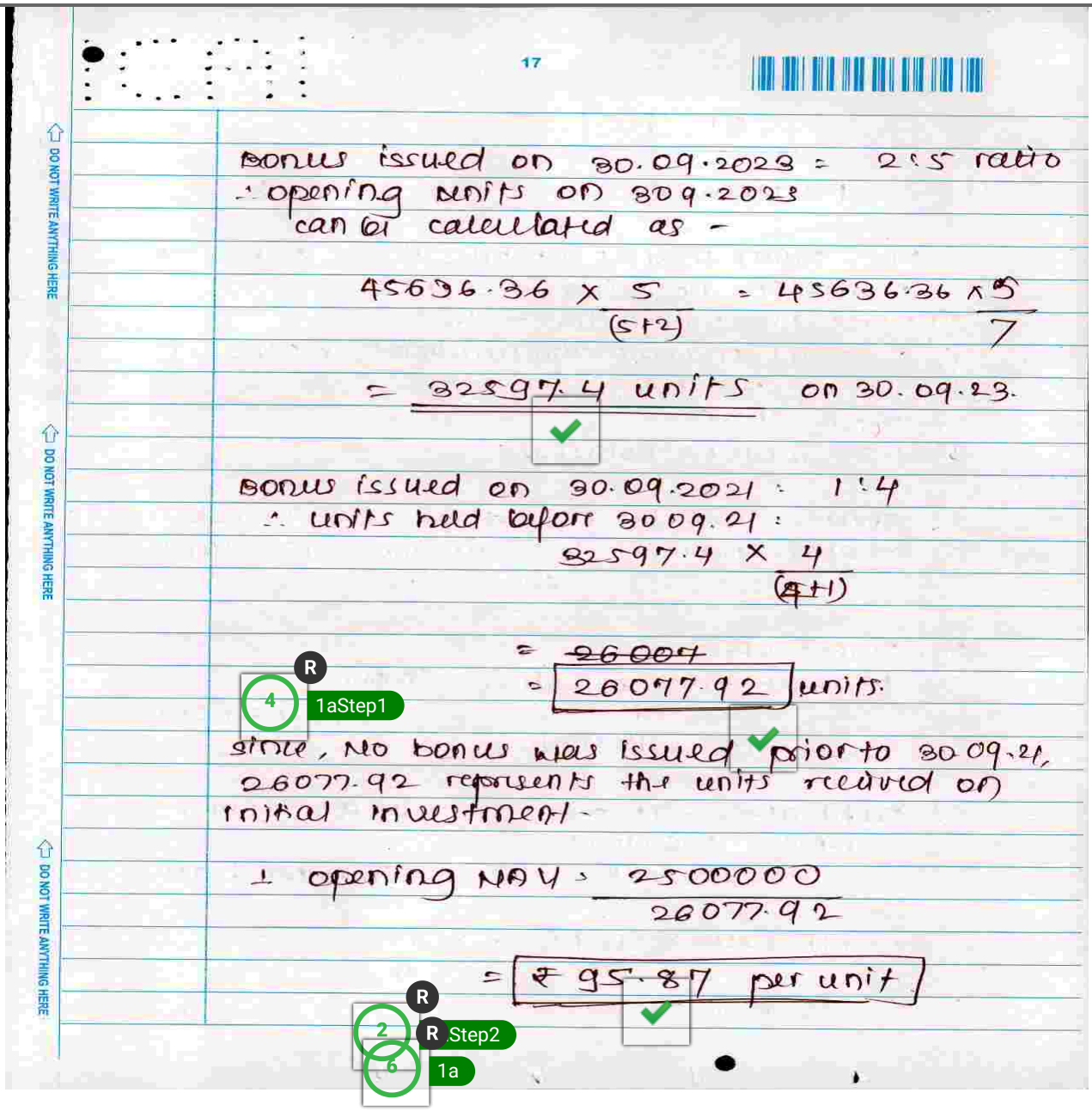
= 2500000 + 252000
= ₹5020,000

closing NAV = ₹110 /pu

∴ Number of closing units : $\frac{5020000}{110}$

= 45636.36

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17

Bonus issued on 30.09.2023 = 2:5 ratio
∴ opening units on 30.9.2023 can be calculated as -

$$45636.36 \times \frac{5}{(5+2)} = 45636.36 \times \frac{5}{7}$$

= 32597.4 units on 30.09.23.

Bonus issued on 30.09.2021 : 1:4
∴ units held before 30.09.21 :

$$32597.4 \times \frac{4}{(4+1)}$$

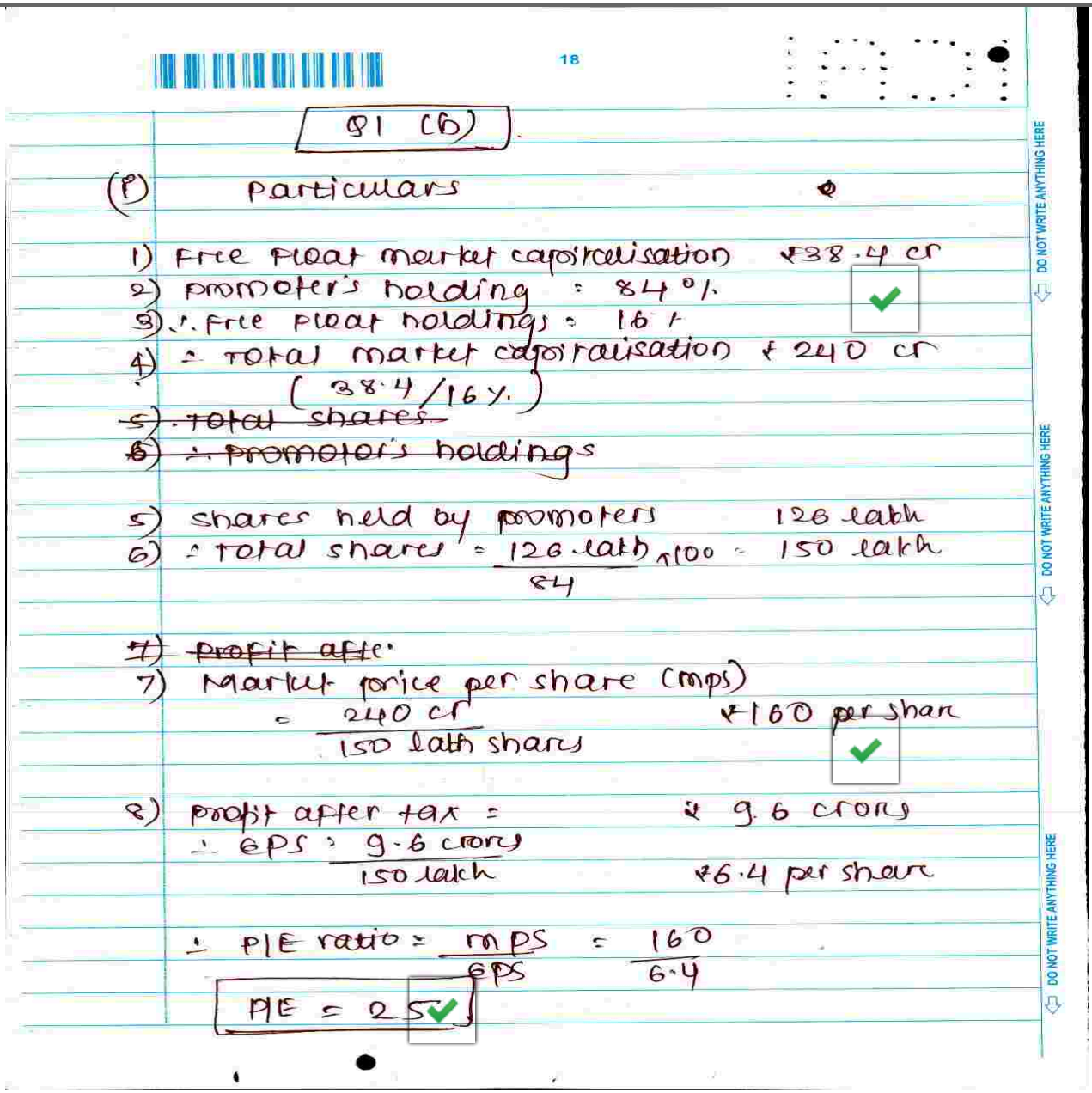
= ~~26007~~
= 26077.92 units.

since, No bonus was issued prior to 30.09.21, 26077.92 represents the units received on initial investment.

∴ opening NAV = $\frac{2500000}{26077.92}$

= ₹ 95.87 per unit

R 4 1aStep1
R 2 R Step2
6 1a



18

Q1 (b)

(P) Particulars ₹

1) Free float market capitalisation ₹38.4 cr
2) Promoter's holding : 84 %.
3) ∴ Free float holdings : 16 %
4) ∴ Total market capitalisation ₹ 240 cr
(38.4 / 16 %.)
~~5) ∴ Total shares~~
~~6) ∴ Promoter's holdings~~

5) Shares held by promoters 126 lakh
6) ∴ Total shares = $\frac{126 \text{ lakh}}{84} \times 100$ = 150 lakh

~~7) Profit after~~
7) Market price per share (mps)
= $\frac{240 \text{ cr}}{150 \text{ lakh shares}}$ ₹160 per share

8) Profit after tax = ₹ 9.6 crores
∴ EPS : $\frac{9.6 \text{ crores}}{150 \text{ lakh}}$ ₹6.4 per share

∴ P/E ratio = $\frac{\text{mps}}{\text{EPS}} = \frac{160}{6.4}$

P/E = 25

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(ii) Promotor's holdings are = 126 lakh shares
These should be 75% of total shares

∴ Total shares should be = $\frac{126}{75} \times 100$

R
4 1bStep1

= 168 lakhs

i.e issue of 18 lakh shares to 24 lakh free float share holders

∴ Bonus ratio : 18 : 24
= 0.75 : 1

(iii) EPS after bonus issue : $\frac{₹960 \text{ lakh}}{168 \text{ lakh}}$
= ₹ 5.714/- per share

∴ ~~FMP~~ market price after bonus = 5.714 × 25
= ₹ 142.85 per share

(iv) Post bonus pre float market capitalisation
R
4 1b = (168 lakh × 25%) × 142.85
= ₹ 59.997 crores ie ₹ 5999.7 lakhs

Q1 (c)

Total premium paid :

a) Call option = 42 × 150 = 6300
b) Put option 8 × 150 = 1200
~~₹ 50 / ₹ 150~~ ₹ 7500

Calculation of profit / loss in given cases -

(1) Share price : ₹ 550 .
If share price is ₹ 550, neither the call option nor the put will be exercised as price does not exceed ₹ 620 strike of call or is less than ₹ 480 - i.e. put strike price

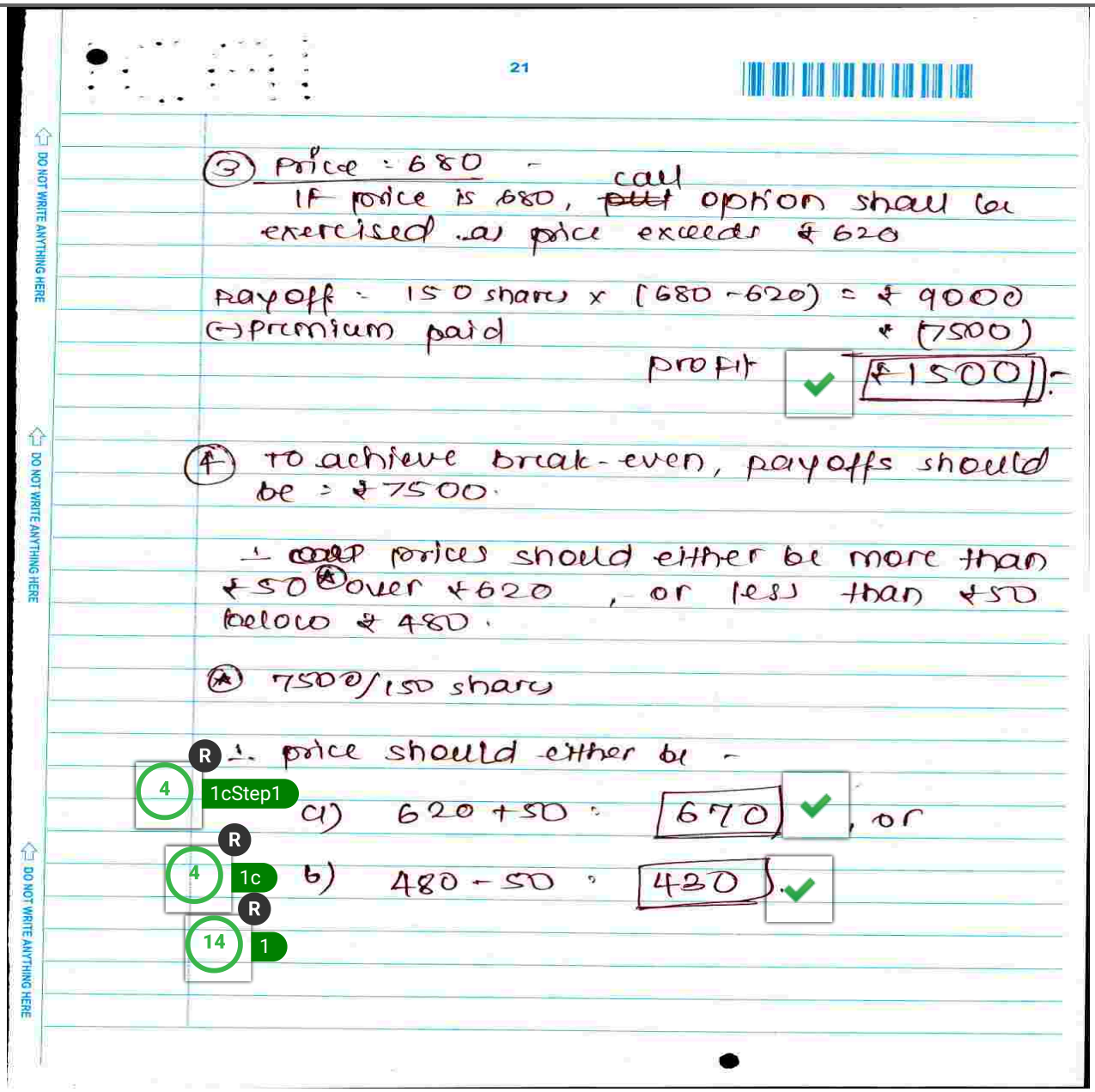
∴ Loss : ₹ 7500

(2) Price : ₹ 380 .

Now, put option shall be exercised resulting in payoff of -

= 150 × (480 - 380) = ₹ 15000
⊖ Premium (7500)
PROFIT ₹ 7500

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21

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(3) Price : 680 -

If price is 680, ~~put~~ call option shall be exercised as price exceeds ₹ 620

Payoff - 150 shares x (680 - 620) = ₹ 9000
(-) Premium paid ₹ (7500)
Profit ✓ ₹ 1500 -

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(4) To achieve break-even, payoffs should be = ₹ 7500.

∴ ~~prices~~ prices should either be more than ₹ 50 over ₹ 620, or less than ₹ 50 below ₹ 480.

(*) 7500/150 shares

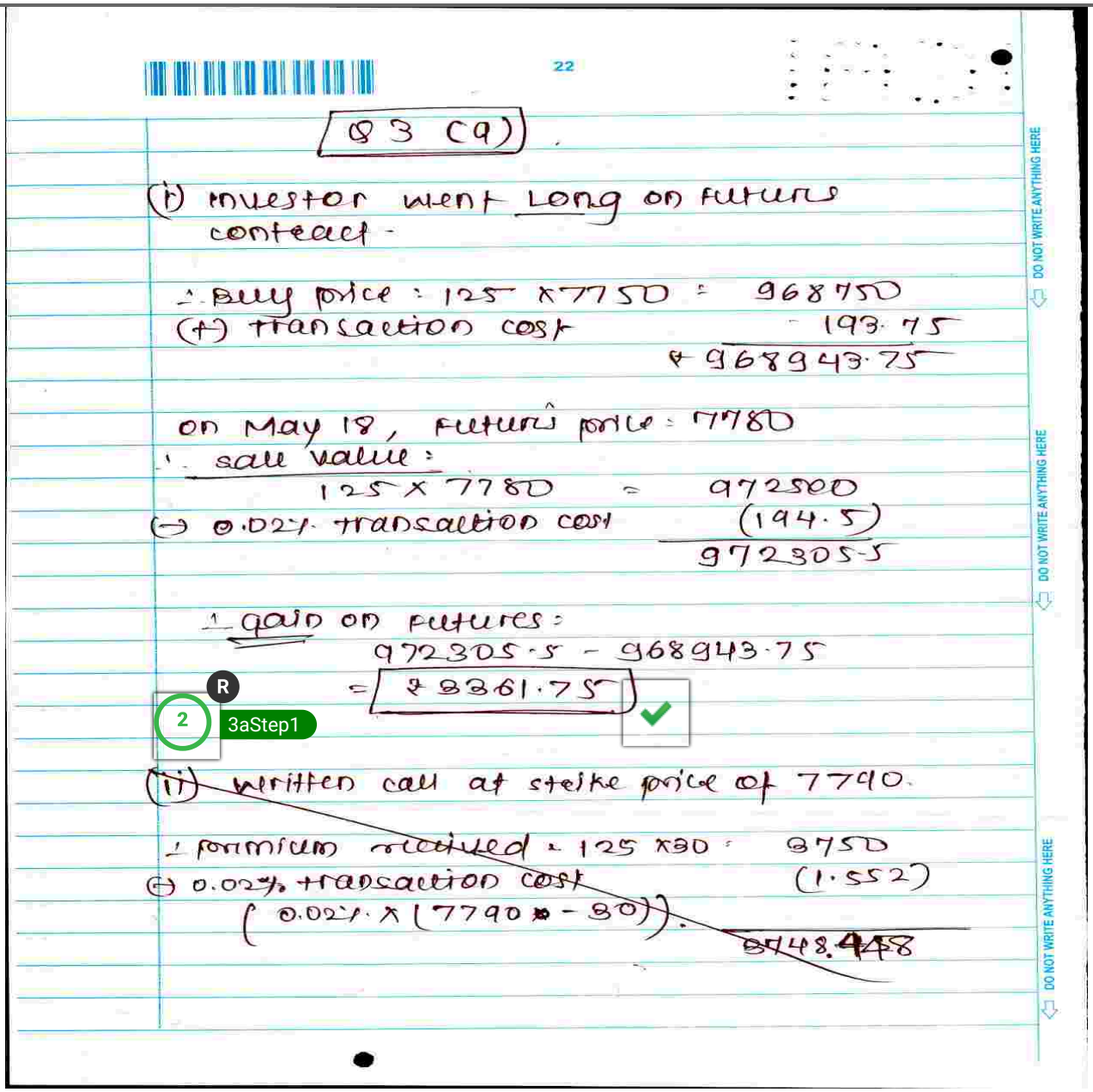
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∴ price should either be -

a) 620 + 50 : 670 ✓, or

b) 480 - 50 : 420 ✓

R 4 1cStep1 R 4 1c R 14 1



22

Q3 (a)

(i) Investor went Long on futures contract.

∴ Buy price : 125 × 7750 = 968750
(+) Transaction cost 193.75
₹ 968943.75

On May 18, Futures price : 7780
∴ Sale value :
125 × 7780 = 972500
(−) 0.02% transaction cost (194.5)
972305.5

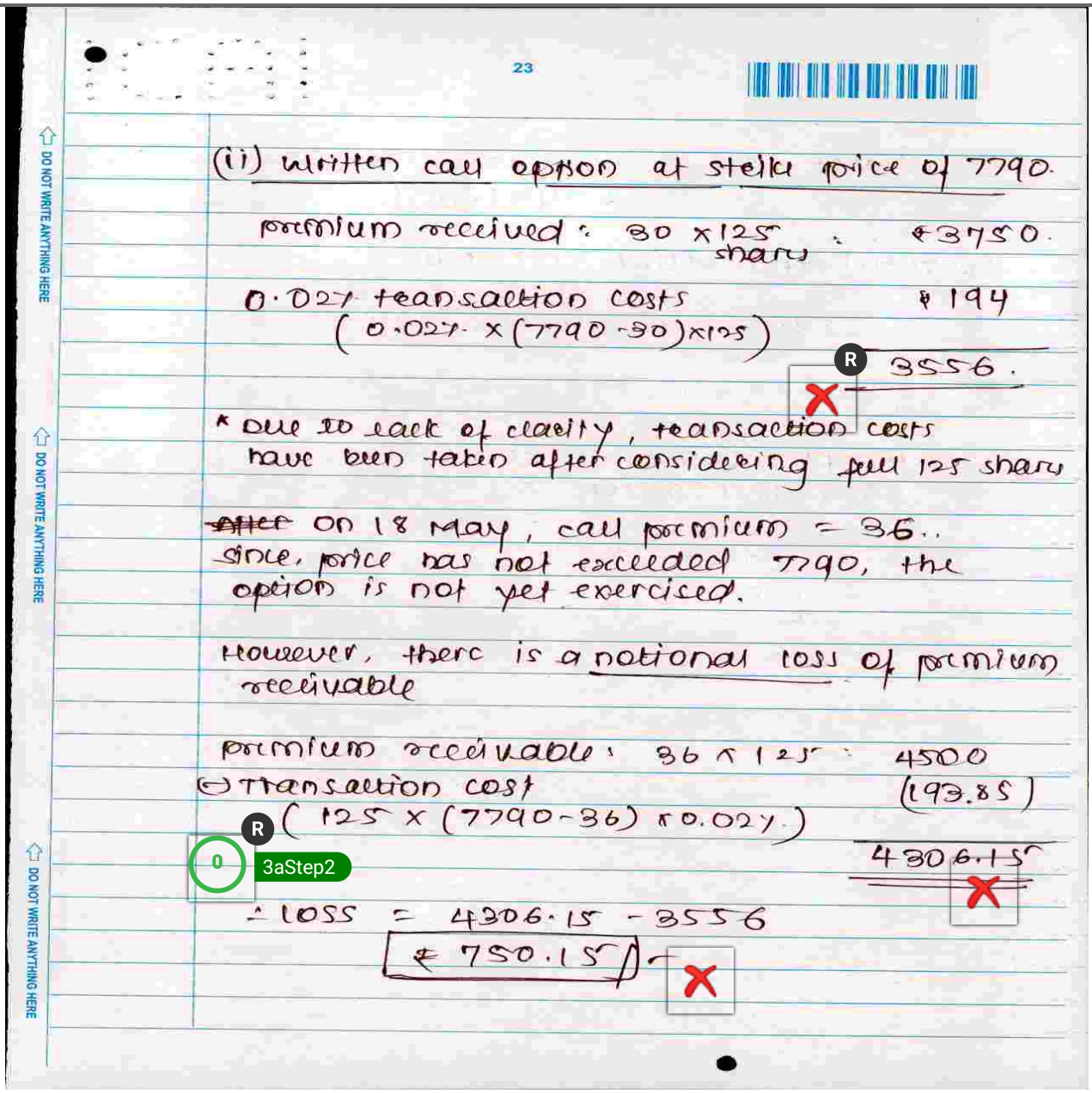
∴ Gain on futures :
972305.5 − 968943.75
= ₹ 3361.75

R
2 3aStep1

(ii) Written call at strike price of 7790.

∴ Premium received : 125 × 30 : 3750
(−) 0.02% transaction cost (1.552)
(0.02% × (7790 + 30)). 3748.448

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23

(ii) Written call option at strike price of 7790.

premium received : 30 × 125 shares : ₹3750.

0.027 transaction costs (0.027 × (7790 − 30) × 125) ₹194

3556.

* Due to lack of clarity, transaction costs have been taken after considering full 125 shares

~~After~~ On 18 May, call premium = 36..
since, price has not exceeded 7790, the option is not yet exercised.

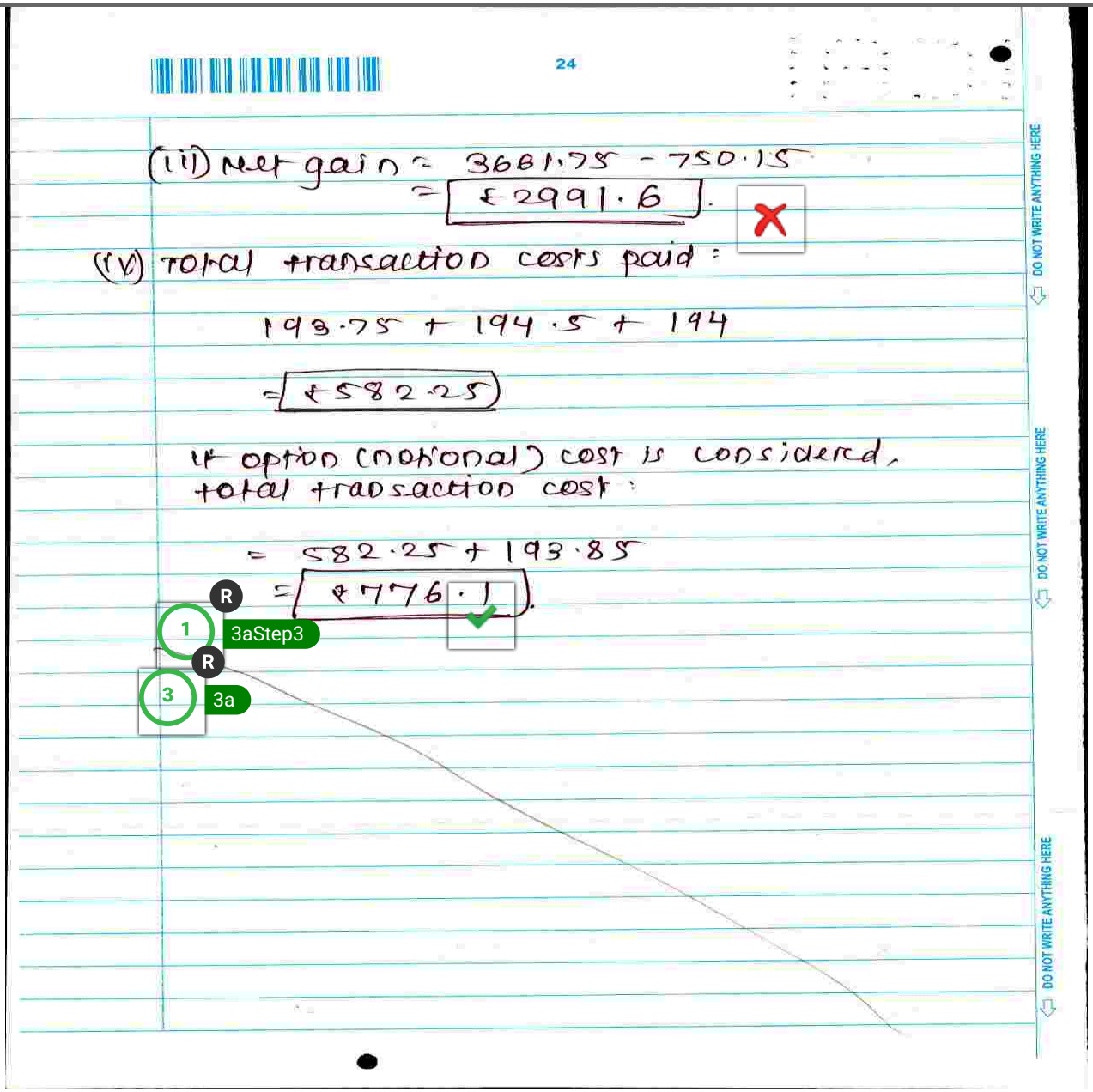
However, there is a notional loss of premium receivable

premium receivable : 36 × 125 : 4500
⊖ Transaction cost (125 × (7790 − 36) × 0.02%) (193.85)
4306.15

3aStep2

∴ Loss = 4306.15 − 3556
₹750.15

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24

(iii) Net gain = 3681.75 - 750.15
= £2991.6

(iv) Total transaction costs paid :

193.75 + 194.5 + 194

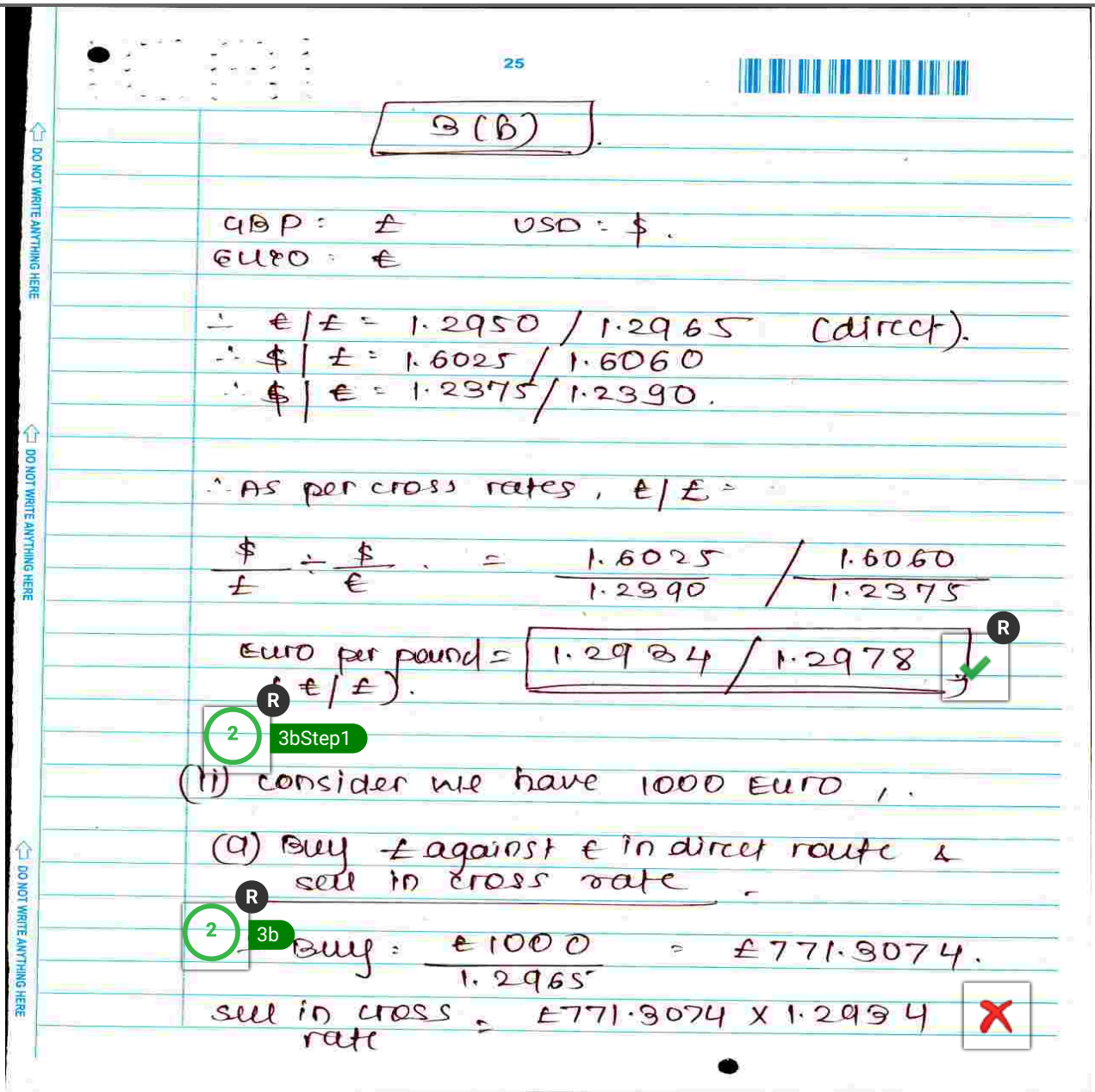
= £582.25

If option (notional) cost is considered, total transaction cost :

= 582.25 + 193.85
= £776.1

R 1 3aStep3
R 3 3a

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25

3(b).

GBP : £ USD : $.
EURO : €

∴ €/£ = 1.2950 / 1.2965 (direct).
∴ $/£ = 1.6025 / 1.6060
∴ $/€ = 1.2375 / 1.2390.

∴ As per cross rates, €/£ =

$/£ ÷ $/€ = 1.6025 / 1.6060 ÷ 1.2375 / 1.2390

Euro per pound = 1.2934 / 1.2978 (€/£).

R 2 3bStep1

(ii) Consider we have 1000 EURO,.

(a) Buy £ against € in direct route & sell in cross rate.

R 2 3b

Buy : €1000 / 1.2965 = £771.8074.

Sell in cross rate : £771.8074 × 1.2934

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= EURO 997.6089

∴ There is loss of EURO 2.3911

(b) sell pounds against EURO in direct route & buy in cross

Suppose we have £1000

~~Buy EURO = 1000 ✗~~

∴ Sell £1000 : 1000 × 1.295 = 1295 EURO

~~Buy EURO 1295~~

Buy £1000 in cross

= 1000 × 1.2978 =

Sell EURO 1295 in cross route : $\frac{1295}{1.2978}$ = 997.8425 pound

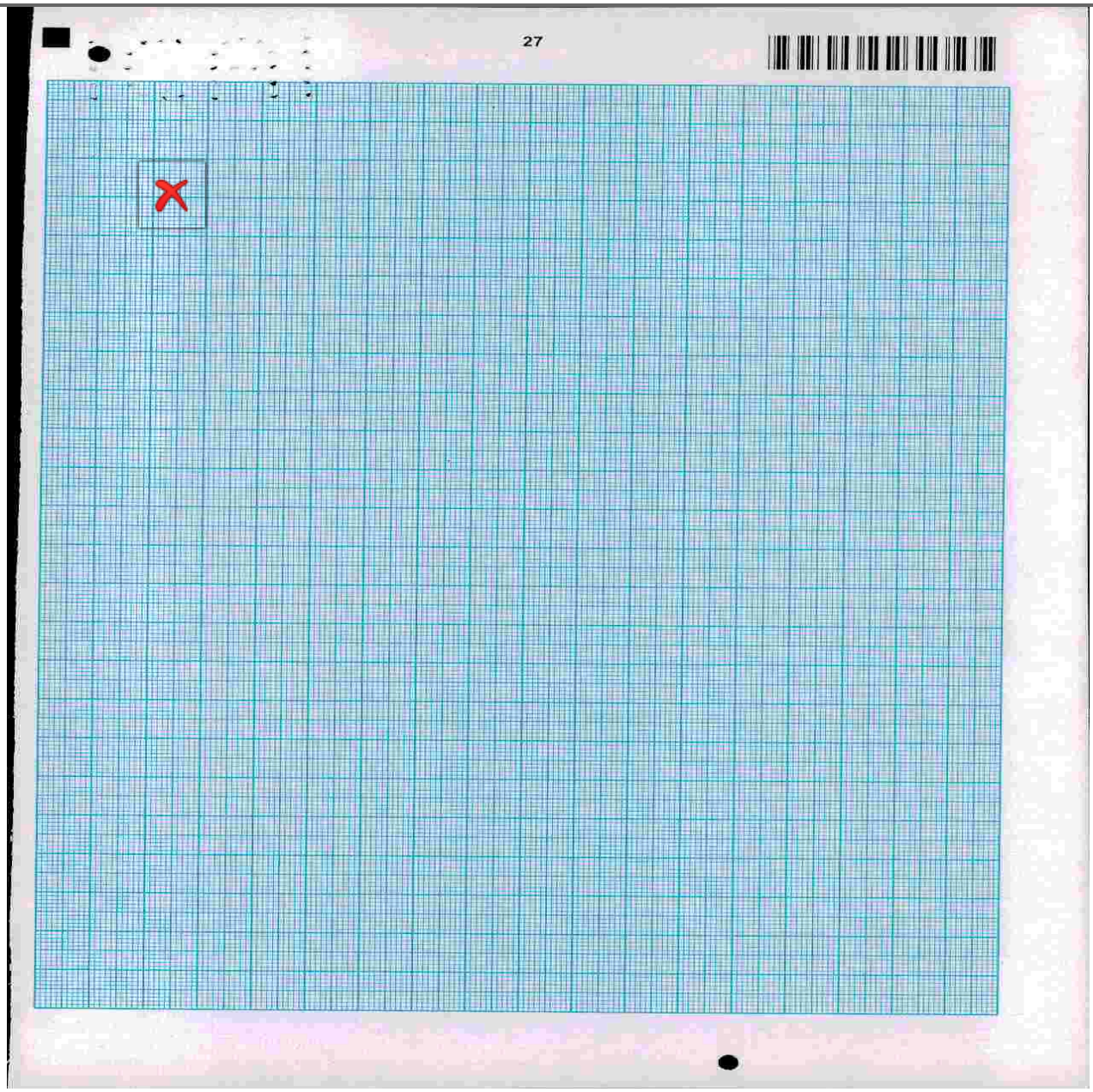
∴ Loss = 1000 − 997.8425

= pound 2.1575

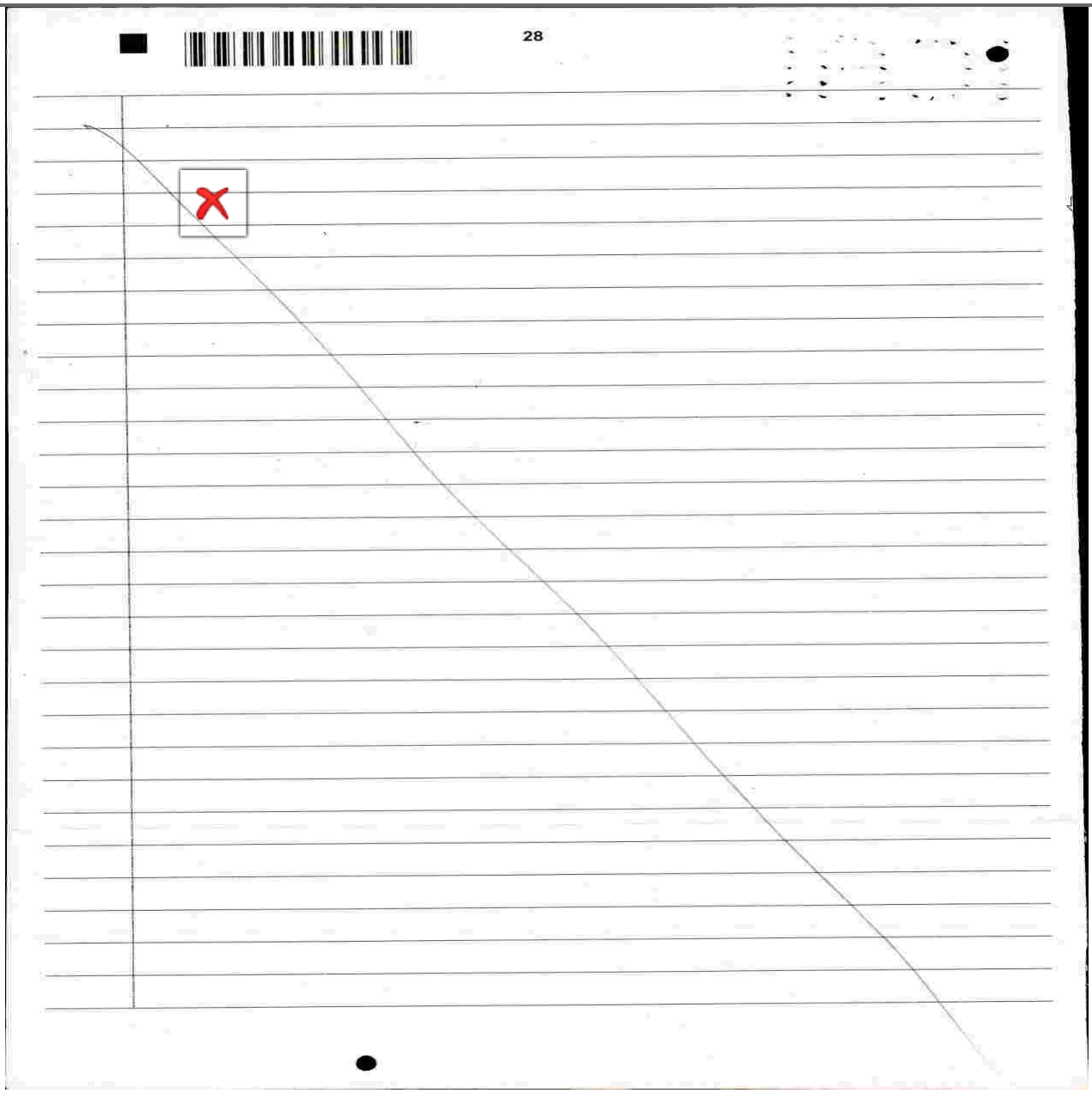
∴ No profit can be made in such alternatives

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Q3 (C).

1) Political Risk is prevented by these following indicators -

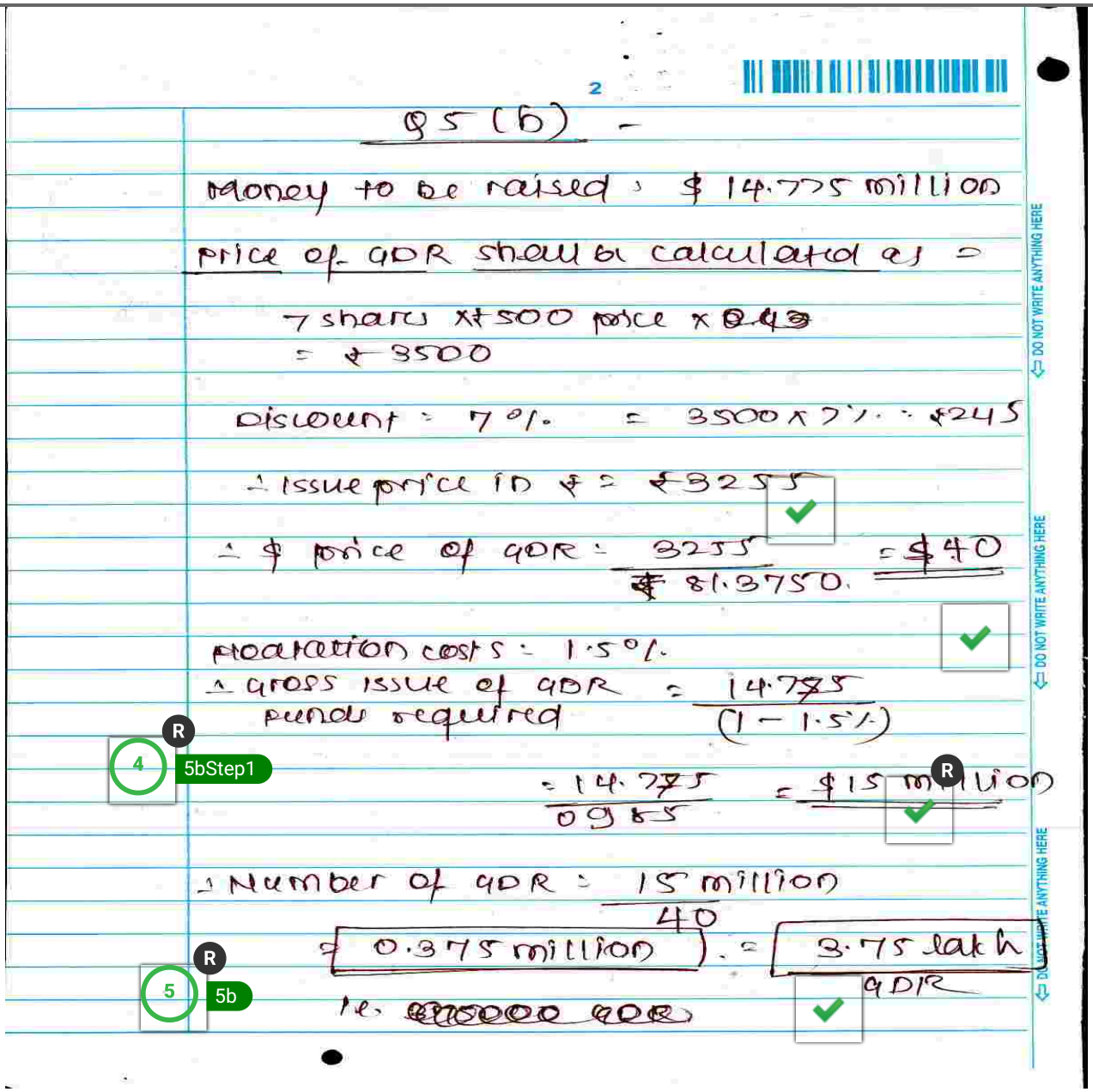
(a) confiscation of goods by government
(b) insistence of ~~on~~ incorporating local funding & local raw materials
(c) Restrictions on conversion of currencies
(d) Restrictions on remittances to home country
(e) price fixation by government

2). techniques to mitigate this exposure -

(a) Local sourcing of raw materials
(b) Local investors
(c) entering into Joing ventures
(d) Prior price negotiations

R 4 3cStep1
R 4 3c
R 9 3

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2

Q5 (b) -

Money to be raised : $ 14.775 million

Price of GDR shall be calculated as =

7 shares x ₹500 price x ~~0.93~~

= ₹3500

Discount : 7% = 3500 x 7% = ₹245

∴ Issue price in ₹ = ₹3255

∴ $ price of GDR : 3255 / ₹81.3750 = $40

Floatation costs : 1.5%

∴ Gross issue of GDR funds required = 14.775 / (1 − 1.5%)

= 14.775 / 0.985 = $15 million

∴ Number of GDR : 15 million / 40

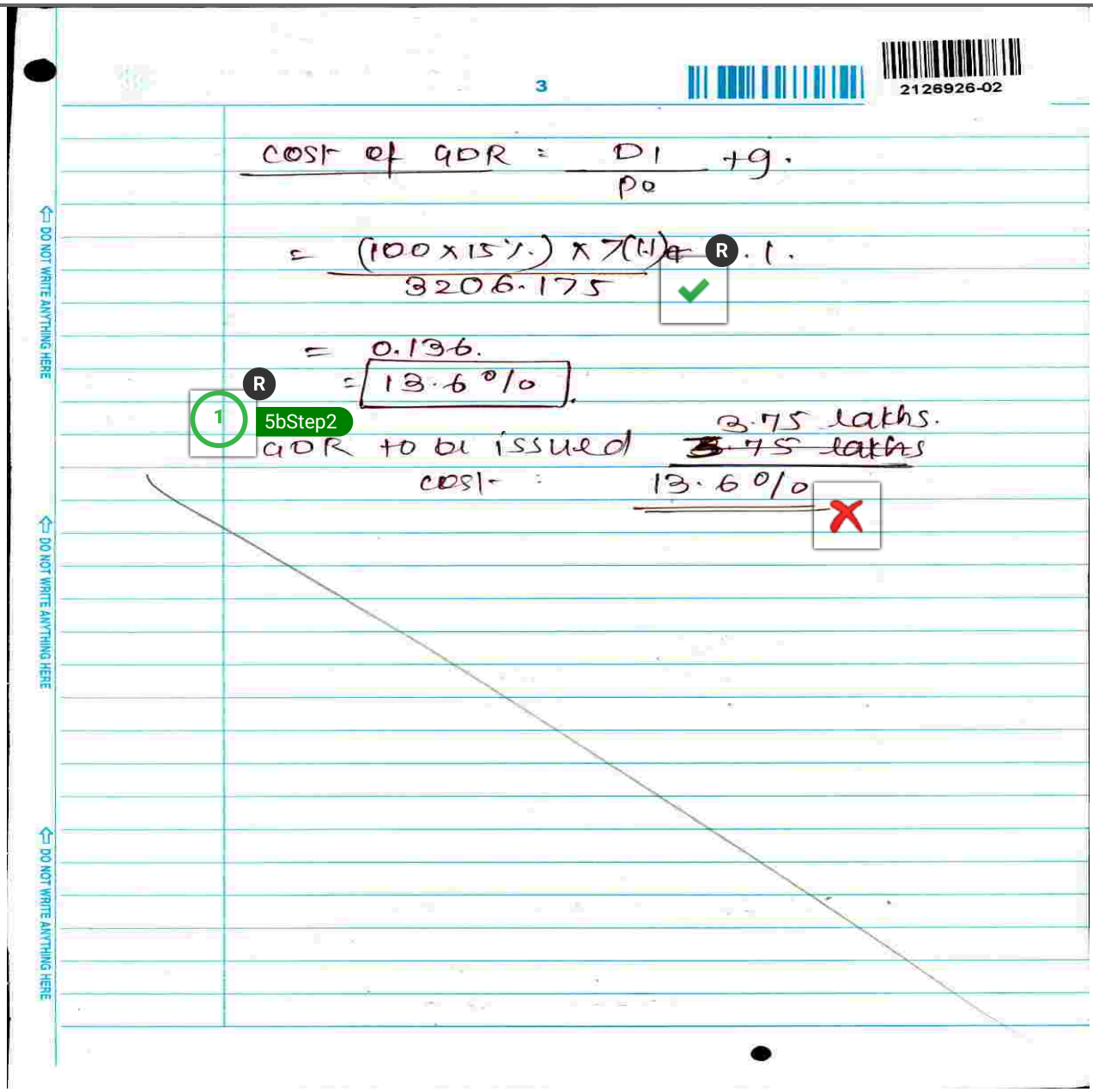
= 0.375 million = 3.75 lakh GDR

i.e. ~~375000~~ GDR

R 4 5bStep1

R 5 5b

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3
2126926-02
Cost of GDR = D1/P0 + g.
= (100 x 15%) x 7(1.1) / 3206.175 + .1.
= 0.136.
= 13.6%.
R
1
5bStep2
GDR to be issued 3.75 lakhs.
cost- : 13.6%
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DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Q 5 (a)

(i) Treynor's ratio = $\frac{E(R) - R_f}{\beta}$

where E(R) : expected return
R_f : Risk free return
β : Beta

Security	Expected Return (1)	RF (2)	1-2 (3)	B (4)	Treynor ratio (3)÷(4)
A	5	7	-2	0.5	-4
B	25	7	18	2.5	7.2
C	15	7	8	1.	8
D	10	7	3	1.5	2
E	20	7	13	1.8	7.22

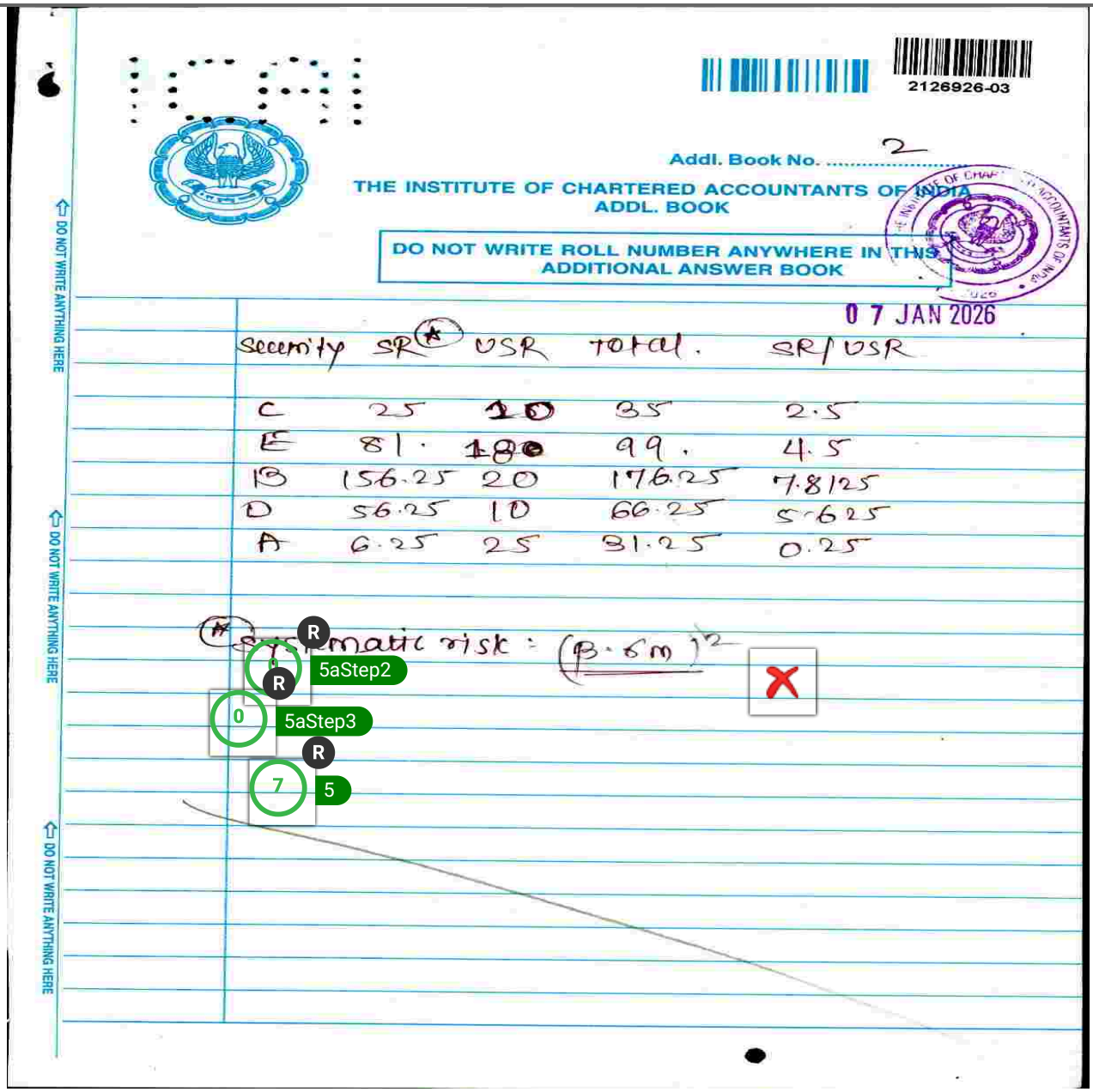
∴ Rankings

	Ratio	Rank
A	-4	5
B	7.2	3
C	8	1
D	2	4
E	7.22	2

R
2 5aStep1

(ii) cut off : $\frac{\text{Treynor ratio} \times \frac{SR}{VSR}}{1 + \left(\frac{SR}{VSR}\right)}$.

R
2 5a



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Security	SR (*)	USR	TOTAL	SR/USR
C	25	10	35	2.5
E	81	18	99	4.5
B	156.25	20	176.25	7.8125
D	56.25	10	66.25	5.625
A	6.25	25	31.25	0.25

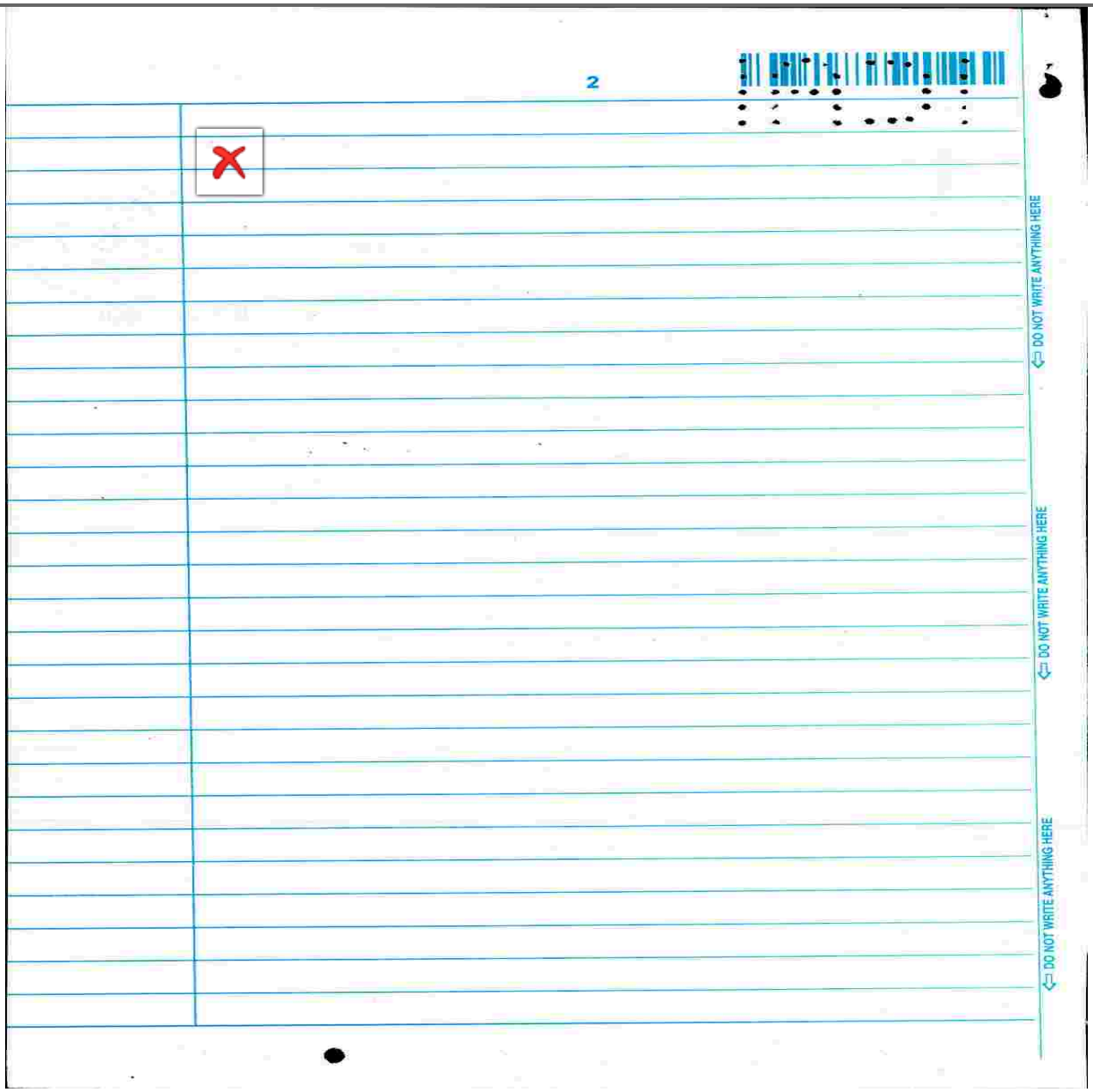
(*) Systematic risk : $(\beta \cdot \sigma_m)^2$

R 5aStep2

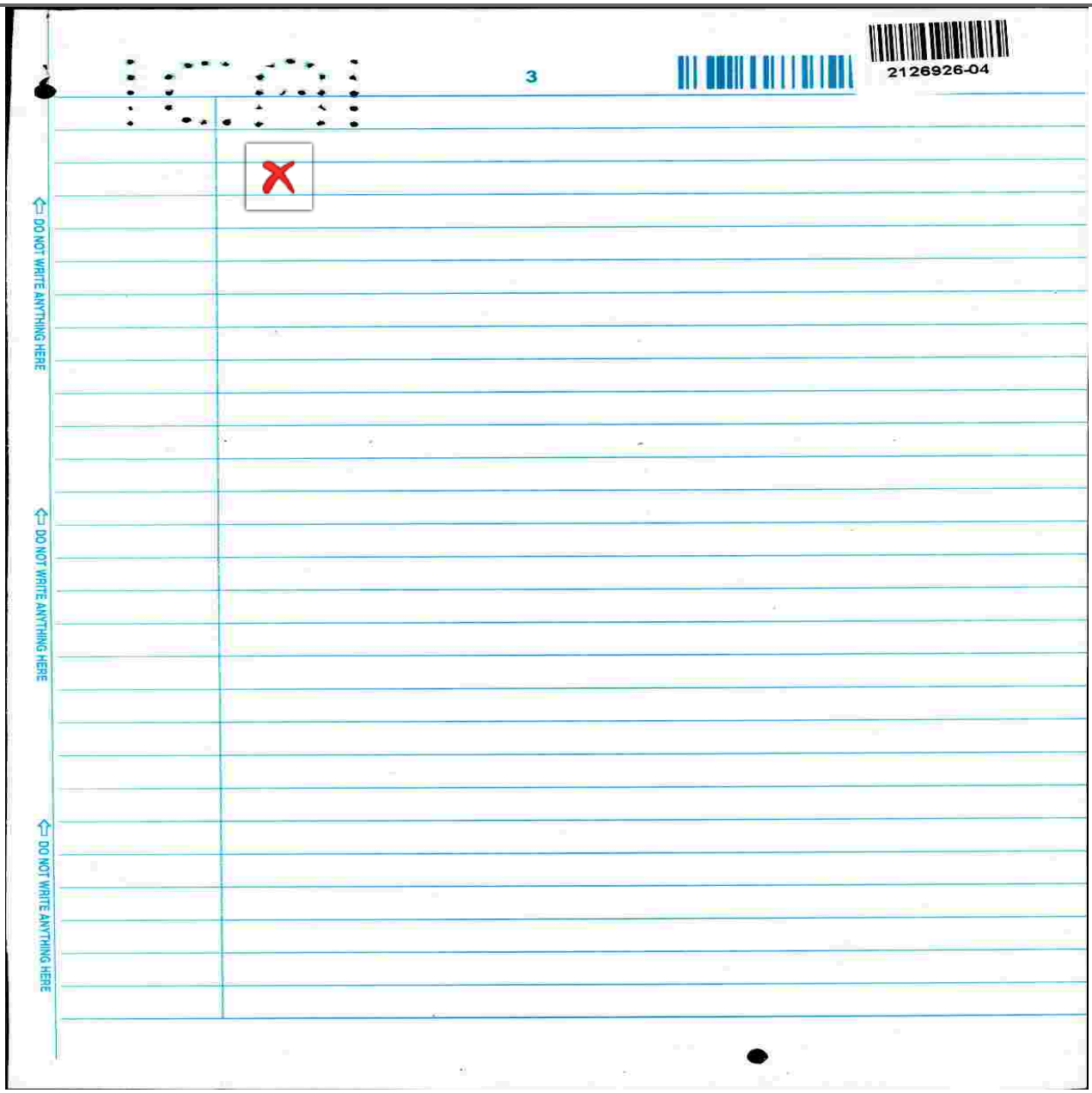
R 0 5aStep3

R 7 5

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